COURSE

AQA A-level Business (7138)

Forms of business and stakeholders

3.1 Unit: What is business? Managing marketing and finance · 3.1.2 Forms of business and stakeholders; 3.3.1 Business and society

Revision for 3.1 Unit: What is business? Managing marketing and finance: each firm works it out on its own deals.

Class **AQA A-level Business, new specification (7138)**	Topic **Forms of business and stakeholders**

THE LESSON

Setup	3 min
Round 1	Decisions 3 min · Deals 5 min · Topic tasks 4 min
Firm decisions · Deals · Topic task 1 · Topic task 2	
Round 2	Decisions 3 min · Deals 5 min · Topic tasks 4 min · B2B deal 3 min
Firm decisions · Deals · Topic task 3 · Topic task 4 · B2B deal	
Round 3	Decisions 3 min · Deals 5 min · Topic tasks 4 min · B2B deal 3 min
Firm decisions · Deals · Topic task 5 · Topic task 6 · B2B deal	
Final questions	3 min

Fits a 30-minute lesson setting; longer settings add more deals.

Each step

Firm decisions	Each role makes its decision on its own page.
Deals	Each pupil trades with a classmate in another firm.
Topic task	The firm answers together. Everyone presses Agree.
B2B deal	One firm sells a lot of cars to another firm.
Final questions	Each pupil answers six questions.

Firm decisions

CEO	**Staff**	Hire staff. Each costs a salary and gives one benefit.
	Sabotage FROM ROUND 2	Hit a rival firm's cash, at a cost. A Legal Counsel blocks it.
Sales & Marketing	**Marketing**	Book one advert campaign to lift the next sales.
Finance	**Capital & Loans**	Borrow cash. The firm pays it back with interest.
	Investments FROM ROUND 2	Buy property or funds. The value can rise or fall.
Operations	**Seasonal stock**	Order the season's cars in advance.

B2B deal · Rounds 2 and 3

One firm sells a lot of 3 cars to another firm (4 in Round 3). With an odd number of firms, two firms offer to sell and the lower price wins.

Topic tasks

Each firm gets its own figures. The method is the same for every firm.

Task 1

ROUND 1

The council can block your plan for a new showroom, but takes little interest in it.

On a power-interest map, how should you treat them?

PICK ONE

- ○ Keep informed
- ✔ **Keep satisfied**
- ○ Manage closely
- ○ Minimal effort

Why: High power and low interest: keep them satisfied.

Task 2

ROUND 1

Your firm pays for road-safety lessons in local schools, though no law asks it to.

Which two benefits are most likely?

PICK TWO

- ✔ **A better local reputation**
- ✔ **Easier to recruit staff**
- ○ Fewer laws to follow
- ○ Higher profit this year
- ○ Lower costs this year

Why: CSR costs money now, but wins goodwill with buyers and job seekers.

Task 3

ROUND 2

Three firms: profit for the year, and the dividends paid.

Order by share of profit paid out, lowest first?

PUT THESE IN ORDER, FIRST TO LAST · RIGHT ORDER

1. **Profit £150,000, dividends £15,000**
2. **Profit £200,000, dividends £50,000**
3. **Profit £80,000, dividends £40,000**

Why: 10%, 25%, 50%: the rest is kept to invest in the firm.

Task 4

ROUND 2

Road-safety lessons in local schools.

Effect on profit? Minus allowed.

WORK OUT THE NUMBER, THEN PICK IT · EXAMPLE FIGURES

Cost of the lessons, a year	**£9,000**
Extra sales from goodwill	**6 cars**
Contribution per car	**£1,900**

METHOD

Effect = extra cars × contribution – cost of the lessons

6 × £1,900 – £9,000 = £2,400

Why: CSR costs money now; goodwill must bring sales to pay for it.

Task 5

ROUND 3

A green valeting firm costs £4,500 more a year and wins 4 extra sales, £900 contribution each.

Which choice raises profit on these figures, and why?

PICK A OR B AND GIVE A REASON

- ✔ **Keep the current firm**
- ○ Switch to the green firm

Why: 4 × £900 = £3,600, under the £4,500 extra cost: on these figures it loses £900 a year.

Task 6

ROUND 3

Residents who care about traffic from your new showroom win the council's support.

On a power-interest map, how should you now treat them?

PICK ONE

- ○ Keep informed: power is still low
- ○ Keep satisfied: interest is low
- ✔ **Manage closely: their power rose**
- ○ Minimal effort: they cannot stop you

Why: High interest and now high power: a key player, managed closely.

Final questions

6
questions for each pupil

109
Level 3 Business questions

4
of them on forms of business and stakeholders

The game draws 6 of the 109 Level 3 questions; these 4 are about forms of business and stakeholders.

1 A legal finance promotion is likely to be misunderstood by vulnerable customers. Which response best supports responsible long-term performance?
Test understanding, show total cost and risks, fix bad incentives.

2 A dealer learns that a contractor manipulated mileage records. Which board response best protects long-term value?
Stop affected sales and investigate independently.

3 A brake fault means a dealer must recall every car of one model it sold. Apart from owners, which stakeholder is most affected?
Workshop staff: weeks of unplanned recall work displacing jobs.

4 A dealer group says it takes a stakeholder approach rather than a shareholder approach. Which statement says what that distinction means?
Stakeholder: weigh every affected group; shareholder: owners' return first.